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Market Briefs Pro

Read Less News

Good morning, Pro Briefers!

Nine months ago, we told you to watch the drone industry.

Why? Drones were innovating in fields like flying taxis and farm sprayers to create the next generation of aerial tech.

That tech is still advancing - but hasn't quite arrived yet.

But drone opportunities didn't disappear - they actually grew in a new way due to one major catalyst: War.

On February 28, 2026, the U.S. and Israel began a military campaign against Iran.

Within weeks, oil prices had spiked by 60%.

Stocks took a hit across the board, with the S&P 500 losing nearly a tenth of its value from its January peak and the Nasdaq falling over 13% into official correction territory.

And while most stocks were falling, defense companies were surging.

- Lockheed Martin climbed 26% year to date.
- RTX rose 22% after the conflict started.
- Northrop Grumman gained over 17%.

That's the obvious angle. More conflicts = more weapons, which the Department of War contracts out to private companies to make.

The not so obvious angle? *Drones*.

These are becoming a bigger part of war, and according to our source at L3Harris, one of the largest defense contractors in the world, "we have only just begun to see what drones can do on the battlefield."

This is where we have identified an Innovation Shift:

Every major military power on the planet - the U.S., China, Russia, Turkey, Israel, and NATO allies - is now building autonomous drone programs on its own.

That kind of worldwide consensus on a single technology creates lasting demand that no single election, treaty, or policy shift can reverse.

Next, we'll break down this shift further - followed by the opportunities investors may want

to keep an eye on.

ANALYST TAKE

Tickers we're tracking:

Hold: RCAT, JOBY

Buy: ACHR, AVAV

Sell: CNH, UAVS

THE SHIFT

The Catalyst For Drones

Drones that are being used in the Iran war cost around \$35,000.

The missiles that shoot them down? \$2 million.

Let's break down why that matters.

For every one missile fired, the military could have bought 57 drones instead.

These cheap, aerial weapons will completely change how war will be fought in the future.

- During the conflict, Iran was reportedly sending around 120 drone strikes per day at targets across the Gulf region.

The U.S. was not ready for that kind of warfare - and neither are other countries around the world.

So, America is now speeding up every drone program it has:

- The 2026 defense budget sets aside \$13.4 billion specifically for autonomous systems.
- On top of that, there's a \$200 billion-plus wartime spending request sitting in Congress right now.

- The Department of War is aiming to put 300,000 cost-effective drones in the field.

The bottom line: It's not just the war in Iran - this is the beginning of a new era in how countries defend themselves.

Russia, China, Ukraine, Turkey, and more, are all also increasing their spending on drone technology.

These countries don't agree on much - but they do agree that drones are the future of the battlefield, and are spending more as a result.

That tells investors one thing: Demand isn't going away any time soon, because the future of defense, regardless of the conflict, is in drones - the Iran war is just the catalyst today.

Next, let's break down the potential opportunities we see in this Innovation Shift.

HOLD

What We're Holding

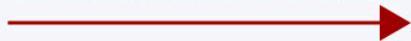
Red Cat Holdings (RCAT) was our top pick from the original drone report - and it has delivered.

Over the last 9 months to April 1st, 2026, shares of Red Cat have jumped 59%.

And for context, the S&P 500 is only up around 6% during the same time period.

Red Cat Holdings, Inc. (RCAT)

6 Month Price



\$7.30
(-10.49%)



Data [via](#) Briefs Terminal

Red Cat builds surveillance and reconnaissance drones - the kind of tech that benefits directly from both the Iran conflict and the recent ban on Chinese drone maker DJI.

Speaking of DJI: the Chinese drone giant dominates the industry worldwide, holding roughly 70% of global market share and an even larger slice of U.S. commercial drone sales.

But in late December 2025, it landed on the FCC's restricted list.

New DJI models can no longer get the approvals they need to be sold in the U.S. Combined with tariffs as high as 145% on Chinese electronics, this effectively shuts the door on new Chinese drones in America.

Red Cat Holdings, Inc. (RCAT)

1 Year Price →

\$12.39
(66.85%)



 **Briefs Terminal**

Data [via](#) Briefs Terminal

That creates built-in demand for domestic alternatives like Red Cat - and it's why we've rated this one as a hold.

But if Red Cat was to fall more, it could create an even bigger buying opportunity for investors that have not yet bought into it.

Exit trigger: Red Cat is still a roughly \$200 million company.

If it can't turn its current momentum into recurring contracts with the Department of Defense or law enforcement within the next 12 months, the stock could slide back into small-cap volatility without institutional backing.

Red Cat Subsidiaries and Divisions Overview

 TEAL	 FlightWave	 BLUE OPS	 FUTURE ACQUISITIONS
TEAL DRONES Teal develops USA for the military and law enforcement. It manufactures its products in Utah and is focused on making end users successful in each of their modern operating environments. Teal's unmanned systems are open, modular, and interoperable.	FLIGHTWAVE FlightWave is a California based aerospace company that specializes in developing long-range, autonomous VTOL drones and sensors. Their flagship product, the Edge 130, is highly versatile and well-suited for both commercial and defense applications.	BLUE OPS Red Cat is committed to dominating the U.S. uncrewed surface vessel (USV) market by delivering bleeding edge sensor and kinetic strike capabilities that redefine maritime autonomy and lethality. Designed for seamless integration enabling true multi-domain operations across sea, air and land.	FUTURE ACQUISITIONS Red Cat is committed to developing the very best battlefield solutions for the warfighter. To that end, strategic acquisitions will be part of our development roadmap to accelerate our technology forward.

And if the Chinese drone ban gets reversed or softened during trade negotiations, the domestic-supplier advantage goes away.

Joby

The last 9 months for Joby Aviation (JOBY) have been rough.

After shares doubled by August 2025, it has fallen 62% from its high.

Joby is an air taxi company - a niche that is innovative, but hasn't quite reached commercialization just yet.

Joby Aviation, Inc. (JOBY)

1 Year Price



\$8.35
(38.33%)



But here's why we're holding: Joby is now in Stage 4 of the FAA's five-step certification process.

That's the most advanced any flying taxi company has ever been.

No company has ever received an FAA Type Certificate for this kind of aircraft. If Joby gets it, the stock could see a massive jump.

If it doesn't, then that changes the picture - so this single event could completely swing the stock in one direction or the other.

Joby Cash Flows Statement

Unaudited (in thousands)

	Year ended December 31,	
	2025	2024
Cash flows from operating activities		
Net loss	\$ (929,842)	\$ (608,034)
Reconciliation of net loss to net cash used in operating activities:		
Depreciation and amortization expense	40,158	35,572
Stock-based compensation expense	127,887	104,446
Loss from change in the fair value of warrants, earnout shares, and contingent consideration	211,850	53,973
Loss on common stock issuance in private placement	40,258	—
Net accretion and amortization of investments in marketable debt	(7,832)	(15,821)

Data [via](#) Joby 10-K

So, until the FAA makes its decision, investors may want to think about holding on to this one if they have it already.

Exit trigger: If Stage 4 testing uncovers something that pushes certification past 2027, or if the company burns through cash faster than its half-year guidance without locking down more funding, the case for holding weakens.

BUY

What We're Adding

Our last report discussed Archer Aviation (ACHR) as well - its main niche is air taxis.

However, the company is sitting at its 52-week low as of April 1st 2026.

On the surface, it looks like a struggling air taxi startup - but Archer has been quietly building its defense business over the last year:

- It teamed up with defense tech firm Anduril Industries to build a hybrid military aircraft together.
- It landed \$142 million worth of contracts from the U.S. Air Force.
- BlackRock and Wellington put up \$300 million earmarked for its defense wing.
- It built a standalone defense unit, run by a leader with 30 years at Lockheed Martin and Sikorsky.

So what's happening? The broader market is dragging Archer's stock down alongside other growth companies - and isn't factoring in its new defense capabilities, yet.

Archer Defense Acquisitions Announcement

Archer announced today two strategic acquisitions to accelerate the development of its next-generation defense aircraft

These acquisitions build on Archer's prior announcement of a strategic partnership with Anduril to co-develop hybrid, autonomous VTOL military aircraft

One of the acquisitions is of a patent portfolio and hiring of key talent from Overair, a spin-off of Karem Aircraft

The other is the acquisition of key composite manufacturing assets and a ~60,000 square foot manufacturing facility from Mission Critical Composites, a specialized defense composite manufacturer in Southern California

These acquisitions come on the heels of strong industry momentum with the announcement of a budget request allocation by the Pentagon of \$13.4B for autonomous military systems

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Data [via](#) Archer's Investor Presentation, from 8/7/25

This is what makes it a unique opportunity - Archer may become a defense company first in the future, and an air taxi company second.

Exit trigger: The defense case for Archer only works as long as the Anduril partnership and Air Force contracts stay intact.

If either falls through, Archer goes back to being a pure air taxi play with a 2028 certification timeline at a \$3.7 billion market cap.

Also, if its cash burn speeds up without a clear path to defense revenue, the story starts to fall apart.

With that in mind, investors will want to keep an eye on this one.

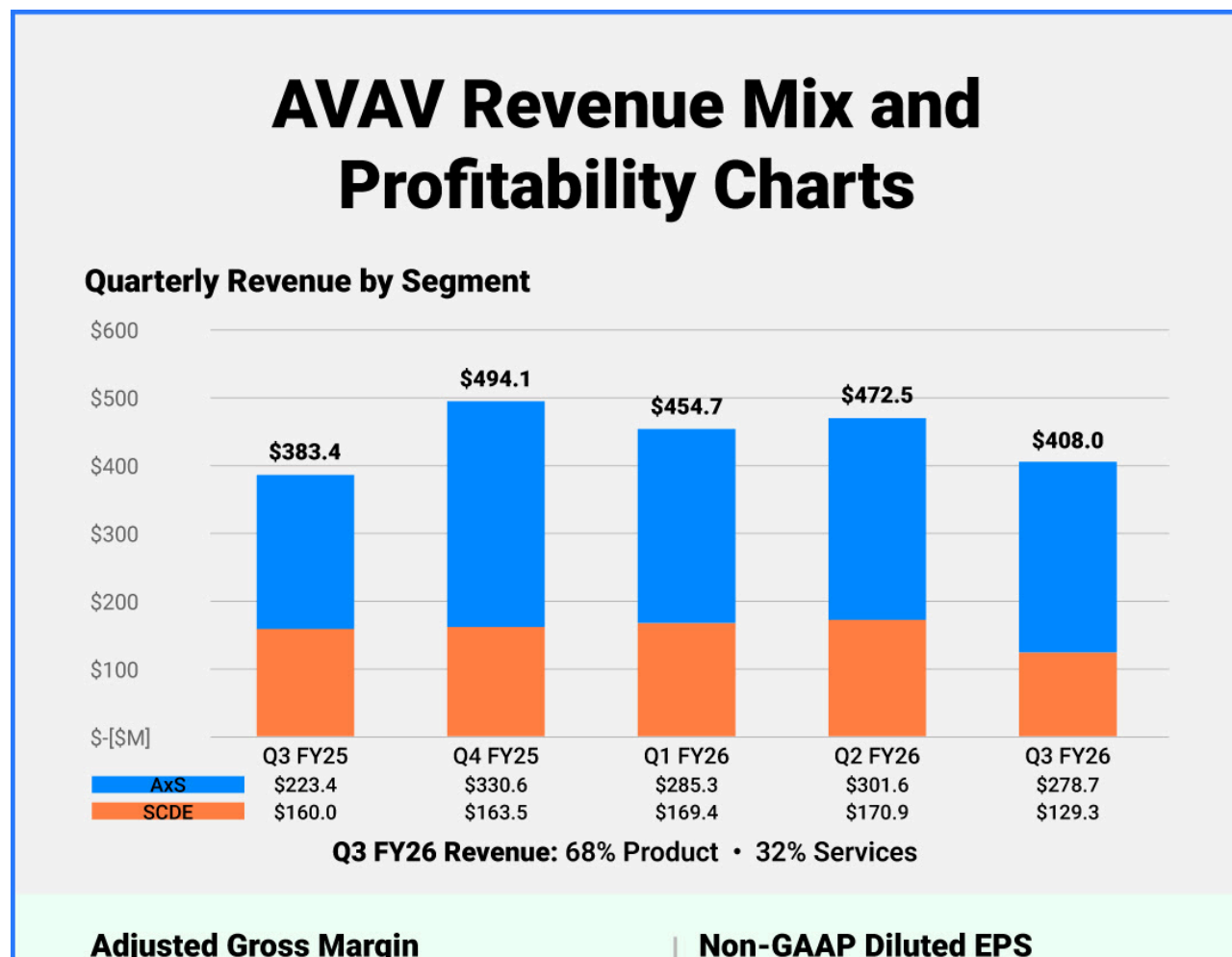
AeroVironment

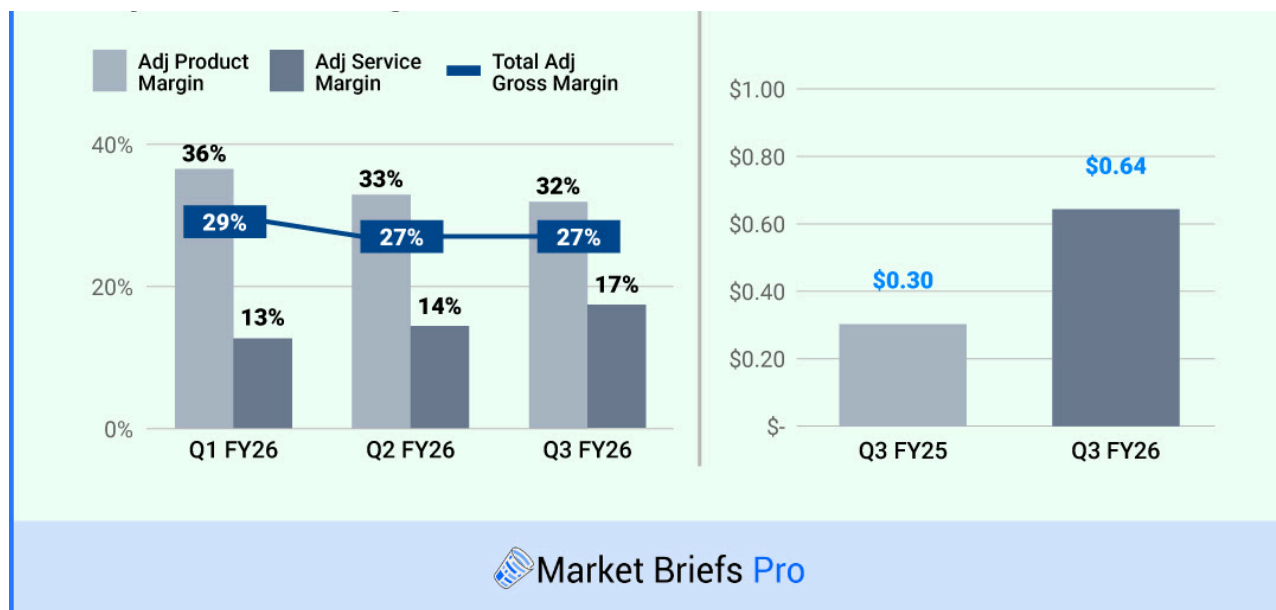
AeroVironment (AVAV) is a veteran in the drone space, as it has been making unmanned aircraft systems for around 40 years.

Its systems have been tested in real combat around the world and it has strong relationships with the Pentagon and allied militaries.

Shares have already climbed 68% over the past year as of April 1st, 2026, but have pulled back from its record high - which may give investors a chance to look at it more closely.

Why the pullback? Broad market stress has hit everyone - defense stocks have shown resilience, but are not totally immune.





Data via AeroVironment's Investor Presentation

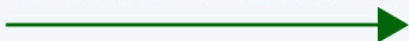
But the underlying business remains solid - backed by long-standing Pentagon relationships and growing international demand for its products.

For investors who prefer a more established name with proven technology and government contracts, AeroVironment is a potential opportunity worth watching.

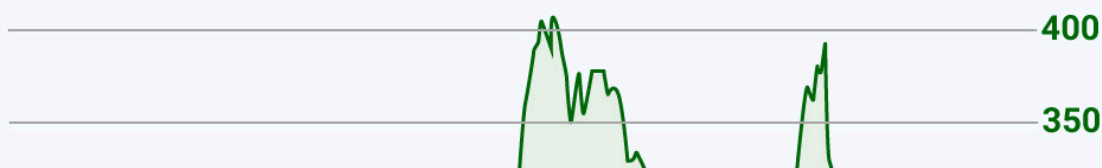
Exit trigger: If the Iran conflict ends quickly and Congress cuts defense spending, investors may be paying a premium without much value.

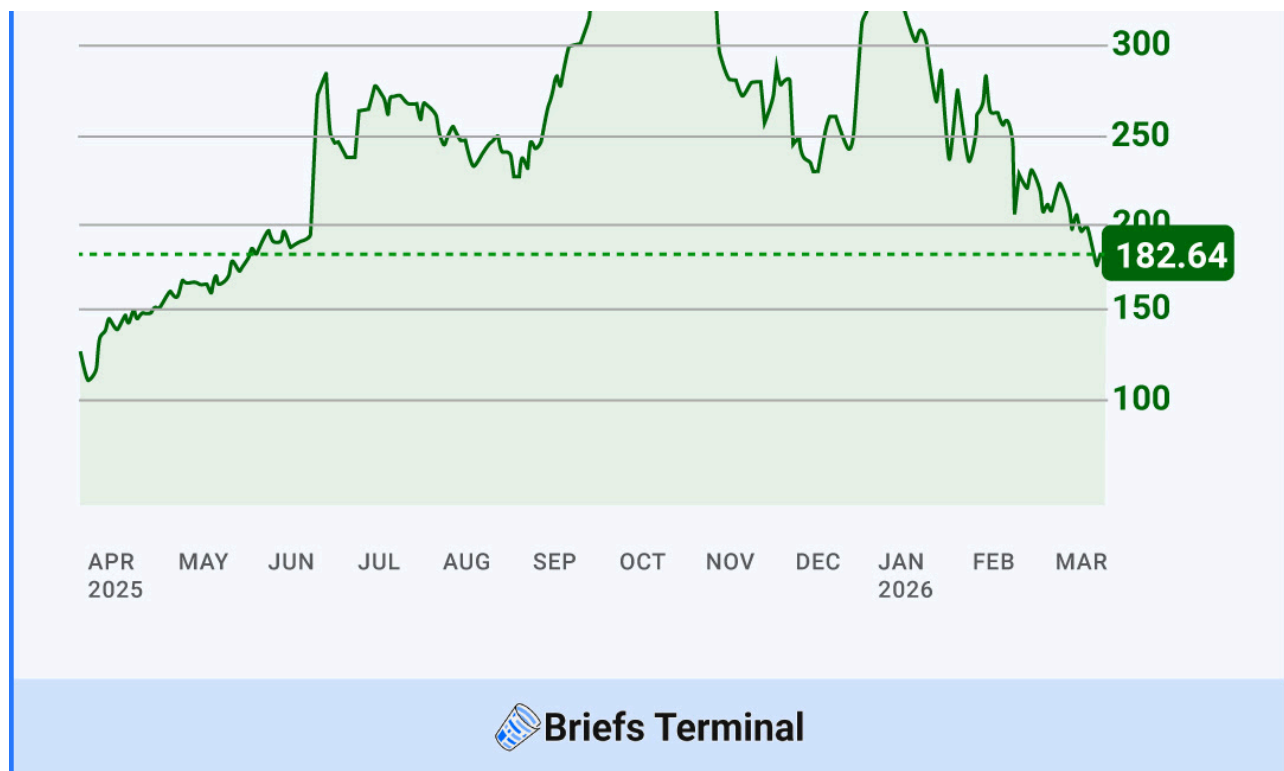
AeroVironment, Inc. (AVAV)

1 Year Price



\$182.64
(43.99%)





Data [via](#) Briefs Terminal

Also worth monitoring - if the Pentagon's next wave of drone programs shifts toward cheaper alternatives from other manufacturers, AeroVironment's competitive edge narrows.

SELL

What We're Selling

The agricultural drone space was previously a niche market. Today, it no longer makes the cut.

Why? The technology is incredible - but it's becoming a commodity.

In English: It's harder for businesses to make a profit with the tech.

Unlike defense drones, there's no global arms race pushing governments to spend aggressively on farm drones.

Our scoring model gave agricultural drones a 24.7 out of 100 - compared to 81.8 for defense drones.

As a result, we previously spotted Agave Aerial Systems and CNH Industrial as a

As a result, we previously spotted AgEagle Aerial Systems and CNH Industrial as a potential opportunity.

But now, we are selling both of these agricultural drone stocks.

The thesis for this type of drone use has run its course - defense for drones is where profits for businesses are heading, so we no longer see CNH or UAVS as potential opportunities.

RISKS

How This Shift Could Change

If the Iran situation resolves quickly, defense stocks could pull back 10% to 15% in the short term.

The reason? There may not be a need for additional dollars for defense, *right now*.

Second, many drone companies are still not profitable.

Red Cat is a small company where a single bad quarter could move the stock by 30% or more.

Third, technology is always changing.

The Pentagon has delivered hundreds of systems, not the thousands it originally promised.

Some drones sent to Ukraine by U.S. startups were easily jammed by electronic warfare.

If the systems don't work, they need to be changed - some companies will innovate while others will fail.

This means investors should lean toward companies with combat-tested products and strong government relationships - not every small drone company with a good pitch deck.

Lastly, China produces about 45% of the world's refined copper and controls key rare earth metals used in drone manufacturing.

Supply chain disruptions from tariffs or trade disputes could increase costs for every company in this space.

And while the U.S. is moving towards self-reliance in rare earth minerals, it's not there yet.

REVIEW

Where Drones Are Flying Next

The drone industry in 2026 looks nothing like it did a year ago.

What was once a collection of futuristic bets on flying taxis and farm robots has become a defense priority backed by hundreds of billions in government spending.

When every major military on Earth arrives at the same conclusion about a technology - independently - the demand behind it becomes very hard to reverse.

The Pentagon's \$13.4 billion baseline budget for autonomous systems isn't going away when this conflict ends and neither is the Chinese ban on drones.

And the cost to make missiles vs drones is a huge factor in this shift.

For investors, the opportunity may be in the companies building the drones that militaries around the world now consider essential.

This is a long-term shift. And it's one investors will want to keep watching closely.



- Market Briefs Pro Team

*The Market Briefs Pro team often invests in the same stocks and assets we cover.

Why? Because we believe in practicing what we preach (and preaching what we practice).

But keep in mind: We're not financial advisors. Everything we provide is for education. You've got to do your own due diligence and think about what makes sense for your own financial situation. Investing has risks.

You are never guaranteed to make money when you invest, you might even lose money. If you're looking for personalized financial advice, we highly recommend speaking with a licensed financial advisor.

Our mission? It's simple - to help you be better with money.

Included interviews have been edited for length and clarity.